Economics - K-12 Level Assessment 5 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following will cause the aggregate demand curve to shift to the left?
   (a) Expectations of surpluses of goods in the future
   (b) A decrease in income taxes
   (c) An increase in government spending
   (d) An increase in foreign income

2. Total spending
   (a) is all of the spending done by all of the households in a nation.
   (b) slopes downward because less spending occurs when prices rise.
   (c) slopes downward because less spending occurs when income falls.
   (d) slopes upward because more household spending occurs when income rises.

3. If Nation A can produce a good at lower opportunity cost than Nation B can produce the same good it is said that
   (a) Nation A has comparative advantage in the production of that good.
   (b) Nation B has comparative advantage in the production of that good.
   (c) Nation A has absolute advantage in the production of that good.
   (d) Nation B has absolute advantage in the production of that good.

4. Which of the following is most likely to produce stronger economic growth over time?
   (a) More rapid consumption of natural resources.
   (b) Higher adult illiteracy rates.
   (c) A falling stock of capital goods.
   (d) Investment tax credits.

5. Land, labor, capital and entrepreneurial talent are often referred to as
   (a) production possibilities.
   (b) goods and services.
   (c) unlimited human wants.
   (d) scarce economic resources.

True / False (10 marks)

Answer True or False

6. True or False: If money demand is nearly perfectly elastic, it can limit a central bank's ability to implement expansionary monetary policy.

7. True or False: Marginal social cost equals marginal private cost plus marginal social benefits.

8. True or False: The Lorenz Curve measures the ratio of income to wealth in different countries.

9. True or False: The removal of the investment tax credit would likely slow a nation's economic growth by reducing incentives for business investment.

10. True or False: The increase in production of SUVs does not create a basis for wage differentials among workers.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how supply-side economists view the relationship between tax changes, aggregate supply, and aggregate demand, and analyze the implications for real GDP.

12. Calculate the reserve ratio, excess reserves, and money multiplier for a bank with 1000$incheckingdepositsandareserverequirementof$250. Explain your reasoning.

End of Paper